Q18

The two formulae calculate both return and capital employed differently. The first shows profit before tax divided by equity and the second profit before tax and interest divided by total long-term finance. [1]

One would normally expect the return on equity to be higher than the return paid to lenders as interest because lenders are taking much less risk. [1]

The fact that there is a significant difference between the results of the two ratios suggests that the company is highly geared. [1]

The high gearing will be desirable to the shareholders as long as the company remains profitable. The fact that the return paid to lenders is fixed means that the shareholders do not have to share any increase in profit with them. [1]

There is, however, a problem in that the shareholders' return will be far more volatile in relation to changes in earnings before interest and tax. Any decrease in that figure will result in a much poorer return to the shareholders because interest will still have to be paid. [1]

[Total 5]

Commentary:
Performance in this question was weaker than most other questions. *Many candidates did not discuss gearing or debt which was the main point of the question.*

V

Statement of Profit or Loss
for the year ended 31 March 2024

	$000		
Revenue	90,860		[½]
Cost of Sales	(28,870)		
Gross profit	61,990		
Distribution Costs	(26,700)		
Administrative Expenses	(13,220)		
Operating profit	22,070		
Finance costs	(260)		[½]
Profit before tax	21,810		
Income Tax Expense	(5,000)		[½]
Profit for the year	16,810		
		FORMAT	[1]

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V

Statement of Changes in Equity for the year ended 31 March 2024

	Share capital £000	Share premium £000	Retained Earnings £000	Total £000		
Opening balance	10,000	14,000	9,250	33,250		[½]
Profit for the year			16,810	16,810		[½]
Dividends			(2,000)	(2,000)		[½]
Closing balance	10,000	14,000	24,060	48,060		
					FORMAT	[½]

V

Statement of Financial Position as at 31 March 2024

	Notes	£000	
Non-current assets			
Property, plant and equipment	[1]	36,000	
Intangible assets	[2]	5,400	
		41,400	
Current Assets			
Inventory		6,180	
Trade receivables		7,140	[½]
Bank		1,720	[½]
		15,040	
Total assets		56,440	
EQUITY AND LIABILITIES			
Equity			
Called-up share capital		10,000	
Share premium account		14,000	
Retained earnings		24,060	
Total equity		48,060	
Non-current liabilities			
Loans (repayable 2030)		2,400	[½]

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Current liabilities			
Trade payables	980		[½]
Tax	5,000		[½]
	5,980		
Total of equity and liabilities	56,440		
		FORMAT	[1]

Notes

1. Property, plant and equipment

	£000	
Cost	43,000	[½]
Depreciation	(7,000)	[½]
	36,000	

2. Intangible assets

Cost	6,000	[½]
Amortisation	(600)	[½]
	5,400	

Workings

Cost of sales

Before adjustment	28,800	[½]
Inventory correction	70	[½]
	28,870	

Inventory

Before adjustment	6,250	[½]
Inventory correction	(70)	[1]
	6,180	

Distribution

Selling expenses	26,100	[½]
Amortisation of software	600	[1]
	26,700	

Administrative expenses

Expenses	8,120	[½]
Directors' salaries	5,100	[½]
	13,220	

[Total 15]

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(ii)

The licence will provide service to V for ten years, so it is necessary to account for it as a non-current asset. [1]

The licence is a legal right, which means that it will be accounted for as an intangible asset. [1]

The licence has been used for one year of its ten year life, which suggests that amortisation of £600,000 should be charged as an expense. [1]

That is consistent with the accruals concept, charging expenses in the year in which they are incurred. [1]

The amortisation reduces the book value of the licence to £5.4 million, which is consistent with the cost and going concern concepts. [1]

[Total 5]

[Total 20]

Commentary:
Performance in Question 19 was very good. Most candidates achieved a high mark in this question. Quite a number of candidates scored full marks for this question which was excellent.

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CB1 - Business Finance - Core Principles - April 2024 - Examiners' report